

project **management**
the managerial process
fifth edition

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McGraw-Hill/Irwin

Student Version

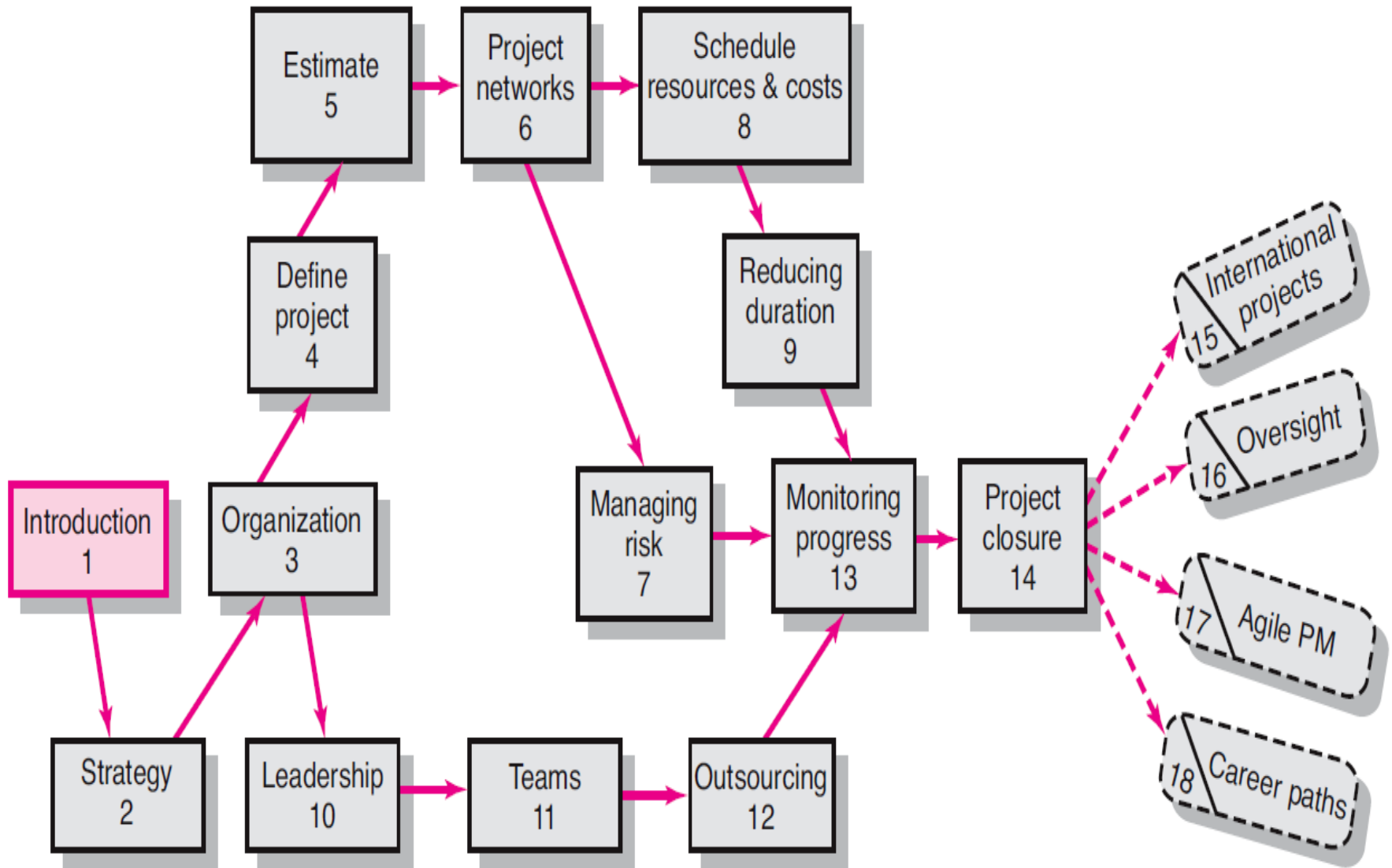
CHAPTER ONE

Modern Project Management

McGraw-Hill/Irwin

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An Overview of Project Management 5e.



What is a Project?

- Project Defined
 - A complex, nonroutine, one-time effort limited by time, budget, resources, and performance specifications designed to meet customer needs.
- Major Characteristics of a Project
 - Has an established objective.
 - Has a defined life span with a beginning and an end.
 - Requires across-the-organizational participation.
 - Involves doing something never been done before.
 - Has specific time, cost, and performance requirements.

Programs versus Projects

- Program Defined

- A series of coordinated, related, multiple projects that continue over an extended time and are intended to achieve a *goal*.

- A higher level group of projects targeted at a common goal.

- Example:

- Projects:

- adding a warehouse; setting up a production line, building a bridge, construct a house

- Program:

- The Manhattan project, the Apollo project, the Operation Desert Storm. & a public housing program

Comparison of Routine Work with Projects

Routine, Repetitive Work

Practice scales on the piano

Attend classes and take notes

Respond to a customer request

Enter daily sales receipts into the accounting ledger

Perform a routine production activity

Design a component with a CAD system

Projects

organize a concert

Conduct a team project

Implement a call center

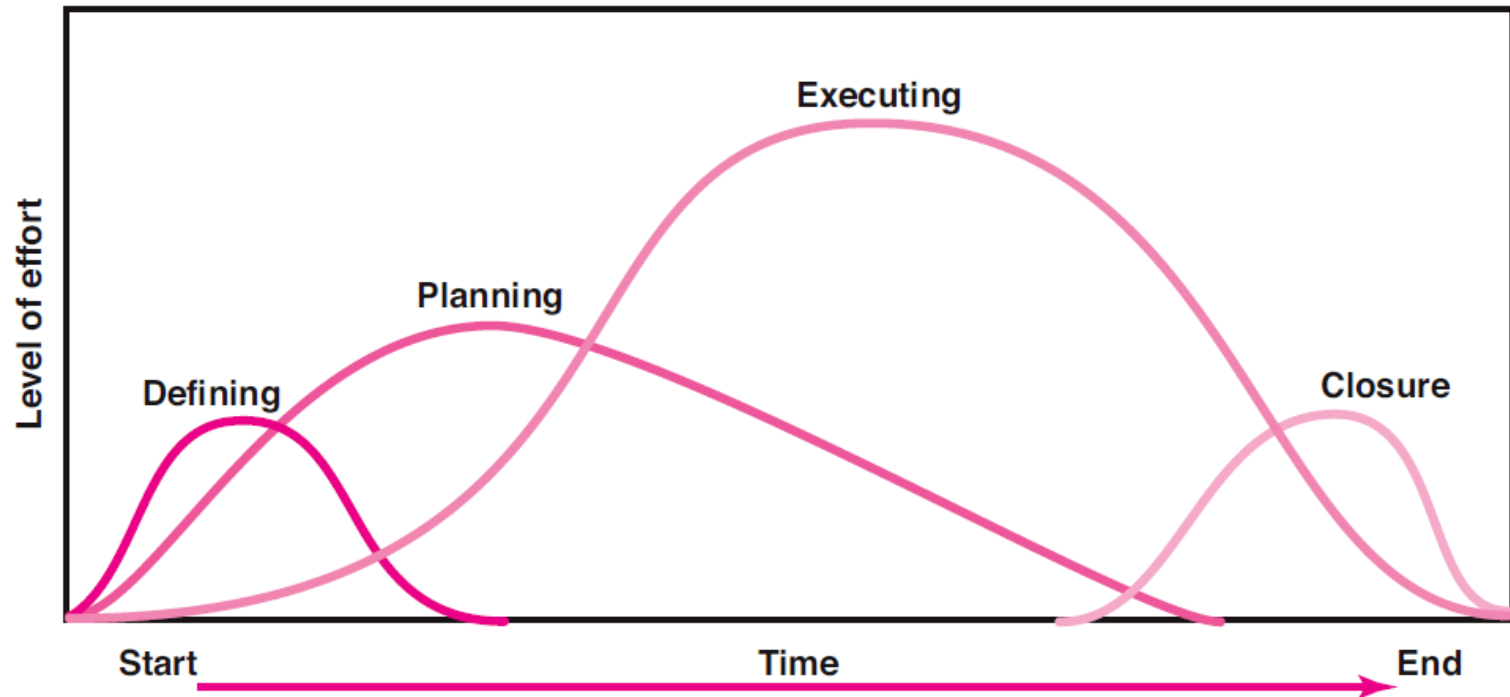
Deploy an ERP system for a company

Design a production system or supply chain management system

Develop a new product, iPad

TABLE 1.1

Project Life Cycle



Defining

1. Goals
2. Specifications
3. Tasks
4. Responsibilities

Planning

1. Schedules
2. Budgets
3. Resources
4. Risks
5. Staffing

Executing

1. Status reports
2. Changes
3. Quality
4. Forecasts

Closure

1. Train customer
2. Transfer documents
3. Release resources
4. Evaluation
5. Lessons learned

FIGURE 1.1

The Challenge of Project Management

- The Project Manager

- Manages temporary, non-repetitive activities and frequently acts independently of the formal organization.
 - Is responsible for success and performance of the project.
 - Is the direct link to the customer and many other stakeholders.
 - Provides direction, coordination, and integration to the project team.
 - Marshals resources for the project.
- Must induce the right people at the right time to address the right issues and make the right decisions.

The Importance of Project Management

- Factors leading to the increase in use of project management:
 - Compression of the product life cycle
 - Increased focus on customer
 - Small projects represent big problems
 - Corporate downsizing
 - Product/project complexity
 - Multiple bottom lines (profit, people, green planet, etc.)



Benefits of an Integrative Approach to Project Management

- Integration (or centralization) of project management provides senior management with:
 - An overview of all project related activities
 - A big picture of how organizational resources are used
 - A risk assessment of all projects in the portfolio
 - An overall metric of the firm's performance in managing projects relative to others in the industry
 - A better linkage between strategy/goals and actual project execution management

Integrated Project Management Systems

- Problems resulting from the use of piecemeal project management systems:
 - Do not tie together the overall strategies of the firm.
 - Fail to prioritize projects by their importance or their contribution to the firm.
 - Are not integrated throughout the project life cycle.
 - Do not match project planning and controls with organizational culture to make appropriate adjustments in support of project endeavors.
 - Are ineffective to grow corporate-wide project management expertise

Major Functions of Portfolio Management

- Oversee project selection.
- Monitor aggregate resource levels and skills.
- Encourage use of best practices.
- Balance projects in the portfolio in order to represent a risk level appropriate to the organization.
- Improve communication among all stakeholders.
- Create a total organization perspective that goes beyond silo thinking.
- Improve overall management of projects over time.

Integrated Approach to Project Management

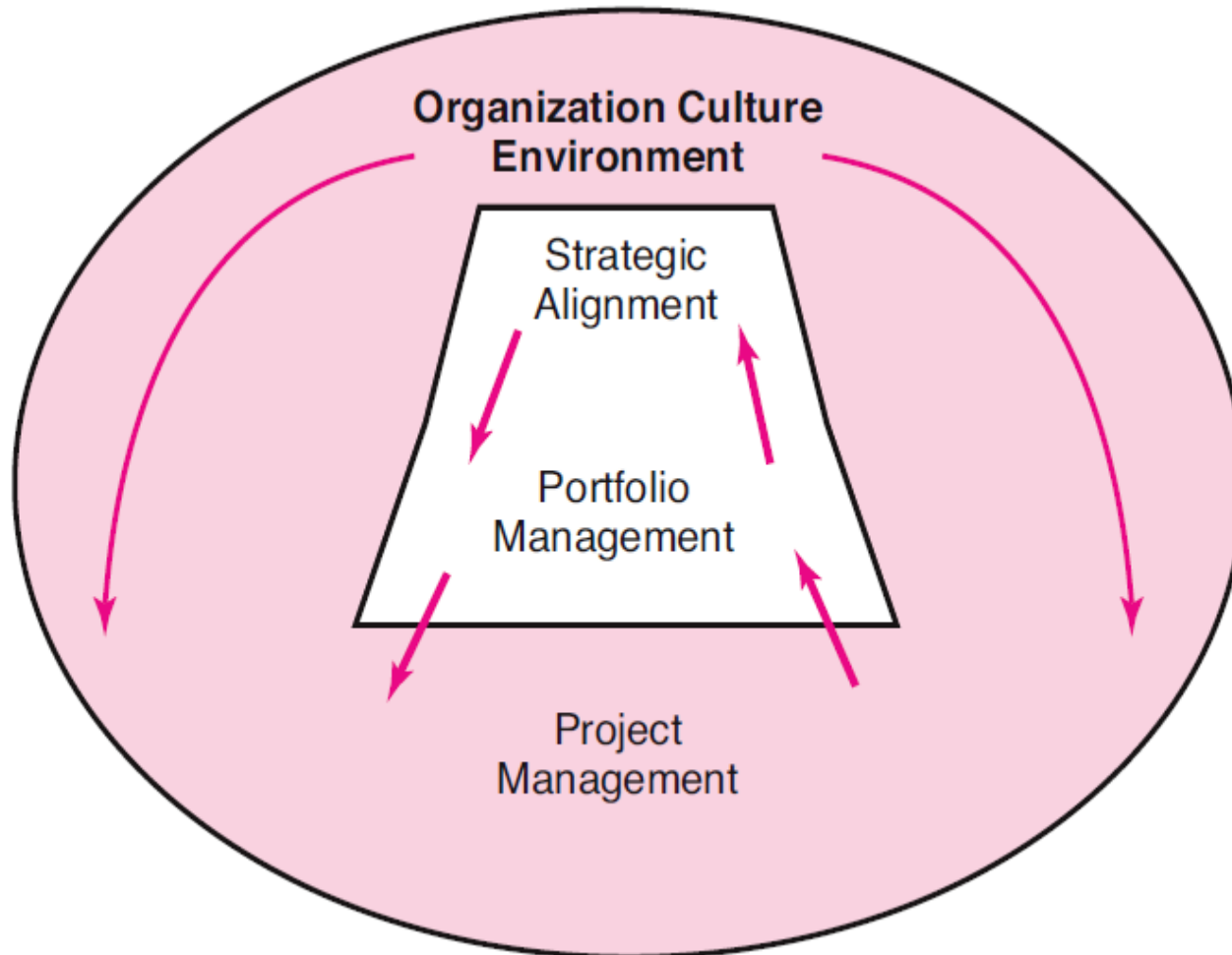
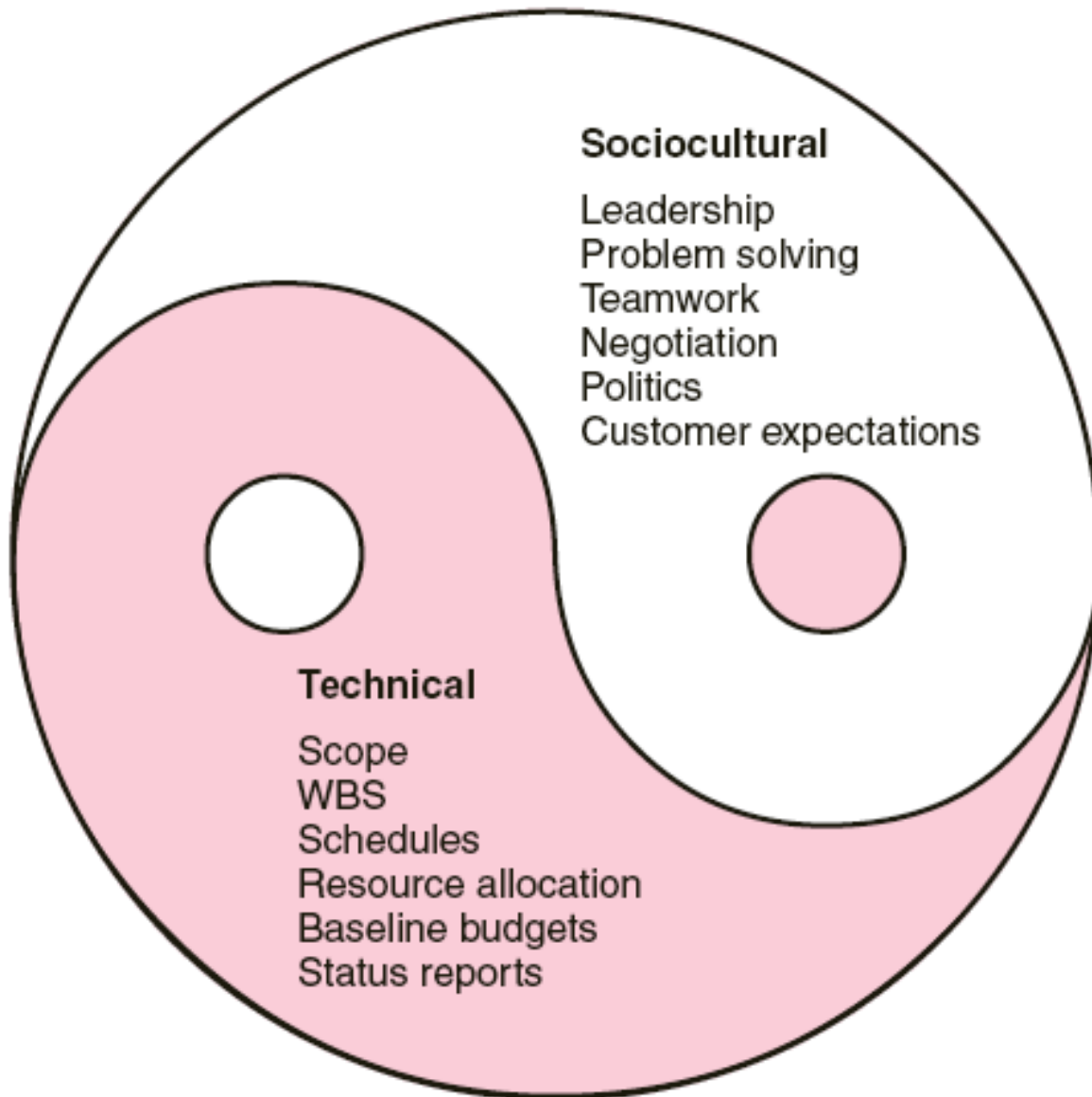


FIGURE 1.2



The Technical
and Sociocultural
Dimensions
of the Project
Management
Process

FIGURE 1.3

Key Terms

ISO 9000

Program

Project

Project life cycle

Project Management Professional (PMP)

Sociotechnical perspective